

the exchange was closed for four and a half months to allow for the shock of the outbreak of World War I to sink in. Then came the 1930s, and the annual turnover as a percentage of listed shares struggled to reach as high as 50%. In 1939, despite a short-lived surge of trading at the outbreak of World War II in Europe, the turnover ratio had fallen to a shockingly low 18.4%. “Perhaps,” sighed the author of the study, “it is a fair statement that if the farming industry showed a similar record, government subsidies would have been voted long ago. Unfortunately for Wall Street, it seems to have too little sponsorship in officialdom.”¹⁰

If a reader took hope from the idea that things were so bad that they could hardly get worse, he or she was in for yet another disappointment. The second edition of *Security Analysis* had been published only months earlier when, on August 19, 1940, the stock exchange volume totaled just 129,650 shares. It was one of the sleepest sessions since the 49,000-share mark set on August 5, 1916. For the entire 1940 calendar year, volume totaled 207,599,749 shares—in 2022, a quiet hour’s worth of volume and only 18.5% of the turnover of 1929, that year of seemingly irrecoverable prosperity. The cost of a membership, or seat, on the stock exchange sank along with turnover and with the major price indexes. At the nadir in 1942, a seat fetched just \$17,000. It was the lowest price since 1897 and 97% below the record high price of \$625,000, set—naturally—in 1929.

“The Cleaners,” quipped Fred Schwed, Jr., in his funny and wise book *Where Are the Customers’ Yachts?* (which, like Graham’s second edition, appeared in 1940), “was not one of those exclusive clubs; by 1932, everybody who had ever tried speculation had been admitted to membership.”¹¹ And if an investor did, somehow, manage to avoid the

¹⁰ *Exchange*, March 1940.

¹¹ Fred Schwed, Jr., *Where Are the Customers’ Yachts?* (New York: Simon and Schuster, 1940), p. 28.